Leave policy for Specialist Cadre employees

Objective: To provide employees with the opportunity to take time off from work, fulfil social obligations, meet personal needs and to ensure their well-being.

Principles of the new leave policy:

- Work – life balance
- Simplicity
- Standardization
- Progressiveness

Scope: This policy will be applicable to all Specialist Cadre employees of BAL and BATL across locations.

Policy details:

- **Revised Earned Leave (EL):**
    - An employee is eligible for 15 EL per calendar year (i.e. from 1st January to 31st December)
    - We will continue to credit EL to an employee as per the existing practice. The EL will get credited to the employee on 1st January every year, basis the number of days that he/she has worked during the previous calendar year (pro-rated)
    - For better work-life balance, out of these 15 EL, an employee is expected to plan and avail at least 6 EL (mandatory Leave) in a year. If not availed, these 6 EL will lapse
    - This means, out of these 15 EL, an employee can carry forward a maximum of 9 EL to the next year.
    - Maximum number of leave that can be carried forward to the next year will be 45 days. Hence, maximum opening balance on 1st January will be
        - EL carried forward (maximum of 45 days) and
        - EL that will get credited on 1st January every year, basis the number of days worked done by an employee during the previous calendar year (pro-rated)
    - At the end of the calendar year, any un-availed and accumulated leave in excess of 45 days will NOT be encashed and will lapse
    - The accumulated Earned leave will be encashed only at the time of separation. The encashment will be done on "Basic Salary"

- **Revised Casual cum Sick Leave (CSL):**
    - An employee is eligible for 12 CSL per calendar year (i.e. from 1st January to 31st December)
        - As per the present practice, the leave will be credited on 1st January as advance leave
    - Maximum numbers of leave that can be carried forward to the next year will be 45 days. Hence, maximum opening balance on 1st January will be
        - CSL carried forward (maximum of 45 days) and
        - 12 CSL that will get credited on 1st January every year as an advance leave
    - At the end of the calendar year, any un-availed and accumulated CSL in excess of 45 days will not be encashed and will be converted to ExL.
    - CSL will not be encashed, not even at the time of separation
    - CSL will be used for adjusting any shortfall in working hours (under flexi-time policy)

- **Exigency Leave (ExL):** To help employees to manage unforeseen situations, "Exigency Leave (ExL)" has been introduced.
    - Eligibility for Exigency leave is as below:
        - The employees will be eligible for 10 days of ExL in a Calendar year
    - Similar to CSL, ExL will also be credited on 1st January every year as an advance leave
    - Maximum numbers of leave that can be carried forward to the next year will be 45 days. Hence, opening balance on 1st January will be
        - ExL carried forward (maximum of 45) and
        - 10 (as mentioned above) that will get credited on 1st January every year as advance

leave

- At the end of the calendar year, any un-availed and accumulated ExL in excess of 45 days will not be encashed and will lapse.
- ExL will not be encashed, not even at the time of separation
- ExL cannot be used for adjusting any shortfall in working hours (under flexitime policy)

- Since CSL and ExL are credited in advance, at the end of the year, actual eligibility will be calculated basis pro-rated paid days in the year. In case of any unpaid days in the year, leave will be reduced proportionately from next year's opening balance

- **Approval process:**
  - The existing leave approval process through ESS will continue for EL and CSL
  - For ExL, approval flow will be as below:
    - ExL can be availed **only in cases where minimum 3 consecutive days of leave are required**
    - Approval of ExL will be similar to other leave types and will have to be approved by the manager
    - This approval flow will be available in ESS

- **Advance Leave:**
  - As mentioned above, the CSL and ExL will be an advance leave and will be credited (on pro- rata basis for new joiners) to their Leave account
  - However, the EL will get credited to the employee's account on 1st January every year, basis the number of days that he/she has worked during the previous calendar year
  - In case an employee needs advance EL to manage any unavoidable obligations, maximum of 7 days of advance EL can be given to the employee subject to the CHRO's approval

- **Weekly Offs & Paid Holidays (PH) during a leave period:**
  - Weekly Offs & Paid Holidays (PH) during leave period will not be considered as leave. Example:
    - Leave applied from 13th August to 16th August → will be considered as 3 days leave since 15th August is a Paid Holiday

- **Adjustment of CSL on account of Paid Holiday:**
  - The total of CSL and Paid Holidays for a location will be 18 (12 CSL + 6 Paid Holidays) days
  - As per the current practice, Leave adjustment at various locations on account of Paid Holidays declared by government authorities every year will be done against the CSL eligibility for employees in the respective location. CSL will be treated as balancing leave, Example:
    - CSL + PH at HO : 6 Paid Holidays + 12 CSL = 18 days per annum
    - CSL eligibility for "X" location with 8 paid holidays in a calendar year:
      - 18 days – 8 Paid Holidays = 10 CSL per annum

- **Compensatory / Substitute offs:** Employees will be eligible to avail only C- off and S-off as per existing guidelines. They will not be eligible for any additional payment (in addition to the day's salary) on account of C-off and S-off.

- **While all the above rules will be applicable to new joiners, leave eligibility during the year of joining for them will be as follows:**
  - Pro-rata CSL & ExL will be credited on the date of joining of an employee as an advance leave basis working days left in the calendar year in which the employee has joined (days between joining date and 31st December of the year)
  - Pro-rata EL will get credited in January of subsequent year on basis the number of days that he/she has worked during the current calendar year

- **Mandatory leave for new Joiners in the joining year:**
  - During the first calendar year of joining, the mandatory Earned Leave for new joiners will be as follows
    - If the credited leave on 1st January of subsequent year of joining is **greater than 9 days**

→ **6 mandatory leave** in the subsequent year of joining

- If the credited leave on 1st January of subsequent year of joining is **9 days & below**

  → **No mandatory leave** in the subsequent year of joining

- **Leave eligibility for employees getting "Separated" (for the year of separation):**
  - EL Eligibility for the year of separation
    - Eligibility will be calculated pro-rata basis days worked during the year of separation
  - CSL & ExL eligibility during the year of separation
    - CSL & ExL are credited as advance in the beginning of the year
    - Hence, actual eligibility for the year of separation will be calculated pro-rata basis days worked during the year of separation

- **Full and final settlement – Treatment of Earned Leave:**
  - For calculating the full and final settlement of an employee, the following data will be considered:
    - The accumulated EL balance, includes pro-rated eligibility of the current year.
    - Mandatory EL to be utilised for the year of separation will be zero
    - EL availed during the year

- **Full and final settlement – Treatment of CSL / ExL:**
  - Balance CSL & ExL will not be encashed at the time of separation
  - If availed leave is more than opening balance + pro-rated eligibility (from 1st January till date of relieving), it will lead to negative balance of leave. Such negative balance will be treated as a loss of pay and appropriate recovery will be done during full and final settlement

While the intent of the policy is to provide employees better benefits, any form of indiscipline such as un-authorized leave by any employee will be viewed seriously by the Management and an appropriate disciplinary action will be taken against such employee. Hence, it is advised to take leave with prior information and necessary approvals.

We are sure that the revised leave policy will help employees in having a better work-life balance resulting in increased overall effectiveness.

This policy supersedes all the existing approvals and amendments thereof with reference to leave policy. **This policy will be effective 1st January 2025**. Any exception(s) to the policy will have to be approved by CHRO.

Regards,
Human Resources